

JPMorgan Chase x Fifth Third Bancorp - Hypothetical Bank M&A;

Investment Banking Portfolio Model | Illustrative 100% Stock Transaction | September 2026

20.0% Offer Premium	\$59.8B Equity Purchase Price	+0.9% Year 2 EPS A/D	(14.5%) TBVPS Dilution
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Transaction Overview

This model evaluates a hypothetical acquisition of Fifth Third Bancorp by JPMorgan Chase. The base case assumes a 20% premium to the reference FITB share price and 100% stock consideration. It is intentionally structured as a bank-specific accretion/dilution exercise, incorporating tangible book value, purchase accounting, capital and synergy considerations.

Buyer	JPMorgan Chase	Target	Fifth Third Bancorp
Offer Price	\$65.27	Purchase Price / TCE	2.85x
New JPM Shares	170.7mm	Consideration	100% Stock
Year 1 EPS A/D	+0.1%	Year 2 EPS A/D	+0.9%
Standalone JPM TBVPS	\$113.35	Pro Forma TBVPS	\$96.93
JPM CET1	14.1%	Illustrative Pro Forma CET1	13.75%

Strategic Rationale & Economics

- **Strategic rationale:** Fifth Third offers a large regional deposit franchise and expanded Midwest, Southeast, Texas and California exposure following its Comerica combination.
- **Synergies:** Base assumptions include 15% cost saves on target annualized noninterest expense and 2% revenue synergies, with 50% Year 1 and 100% Year 2 phase-in.
- **EPS:** Target earnings plus synergies are sufficient to make the illustrative transaction modestly EPS-accretive by Year 2 despite new JPM shares issued.
- **TBV:** The premium to target tangible common equity creates substantial TBVPS dilution, demonstrating why bank M&A; cannot be evaluated on EPS alone.

Key Risks / Bank M&A; Considerations

- **Regulatory feasibility:** A JPM acquisition of a large U.S. depository institution would face significant systemic-risk, deposit-concentration, antitrust and supervisory scrutiny.
- **Capital:** CET1 consumption and purchase-accounting marks can materially change transaction attractiveness.
- **Integration:** Fifth Third completed its \$12.7B Comerica acquisition on February 1, 2026, increasing integration complexity and execution risk.
- **Credit / marks:** Loan credit marks, core deposit intangible assumptions and restructuring costs can materially alter TBV dilution and earn-back.

Bank M&A; Takeaway

Conclusion: The base case is modestly EPS-accretive but materially TBV-dilutive. In an actual bank transaction, the analyst would need to test tangible-book earn-back, capital impacts, credit marks, integration costs and regulatory feasibility before recommending the deal.

Primary Sources

JPMorgan Chase 2Q26 investor materials; Fifth Third 2Q26 earnings materials and SEC filings; Fifth Third / Comerica merger disclosures. This is a hypothetical educational model, not a transaction prediction or investment recommendation.